

3370 Great North Road Mixed Residential Scheme

26 design-led residences | Glen Eden, Auckland

Concept, Massing, Feasibility, Market & Financing

Prepared under the Citadel Acquisition Engine

June 2026 - Internal - Strictly Private & Confidential



Executive Summary

A two-product residential scheme for two buyer pools

This paper sets out a mixed residential scheme for the 809 m2 THAB site: 26 design-led residences across a four-level walk-up, built as a cost-efficient brutalist shell and finished to a distinctive, brand-led interior standard. The scheme deliberately blends two products - 16 single one-bedroom residences and 10 dual-key residences, each containing two lockable studios - to address two distinct buyer pools and de-risk the sell-down.

At adopted prices of \$499,000 (one-bedroom) and \$599,000 (dual-key), the scheme returns a 24.7% development margin, 142% return on equity, and supports a residual land value of \$1,761 / m2 - above the \$1,400 / m2 acquisition position. The dual-key product, generating two income streams, out-yields the one-bedroom (5.6% vs 5.0% gross), so its higher price is justified by income rather than optimism.

Adopted scheme: 26 residences, two products

24.7% margin

HEADLINE NUMBERS (ex-GST, at \$605k land entry)

Residences	26 (16 one-bed + 10 dual-key)
Gross realisation (incl GST)	\$13,974,000
Gross realisation (ex-GST)	\$12,151,304
Total development cost	\$9,144,378
Development profit	\$3,006,927
Development margin	24.7%
Equity (25%) / Return on equity	\$2,114,999 / 142%
Residual land value (at 18% margin)	\$1,761 / m2

Key sensitivities - read pages 9 & 11

The result depends on achieving design-premium prices that are high for Glen Eden and not yet supported by a confirmed local comparable; on the dual-key build cost (the swing variable); and on council's treatment of the dual-key consent. A registered valuation, a genuine local comparable, a QS build estimate, and an early planner's view are required before binding commitment. See conditions precedent on the final page.



The Product

Two products, one design language, two buyer pools

The scheme is conceived as a single branded community of 26 residences. The architecture is intentionally raw - exposed concrete and blockwork in a brutalist idiom - while the interiors are crafted, warm and highly resolved. Shared "colliding facilities" (laundry, lounge, office / co-work) deliver a connected-living experience and allow private footprints to stay compact and efficient.

POSITIONING

Two products, deliberately. 16 single one-bedroom residences (45 m2) reach owner-occupiers and investors; 10 dual-key residences (45 m2, each two lockable ~20 m2 studios) target yield-focused investors. Two audiences, halved absorption risk.

Income-justified pricing. A dual-key generates two rental streams (~\$640/week, ~\$33,280/year) versus ~\$480/week for a one-bedroom - 33% more income per title. At \$599,000 it yields 5.6% gross, ahead of the one-bedroom's 5.0%, so the higher price is backed by income.

Brutalist shell, smart interior. The structure is the finish - no cladding or plasterboard layer - keeping build cost efficient while spend concentrates on joinery, integrated storage, smart systems and light.

Connected, shared, modern. Colliding facilities - shared laundry, lounge, office / co-work - deliver the connected-living promise and make compact private studios genuinely liveable.

Interior design

Interior design intent by Studio 11:11 (a Citadel design partner). The building architecture is to be prepared by a registered architect to be appointed.

Tenure / operating model

Amenity-rich, dual-key product can suit build-to-hold-and-operate as readily as build-to-sell. If sold as individual titles, ownership and operation of shared facilities must be resolved in the body-corporate structure. A build-to-hold model should be run alongside build-to-sell.

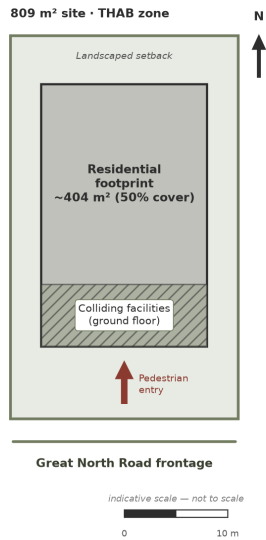


Indicative Massing & Site

Schematic - not to scale, not for consent

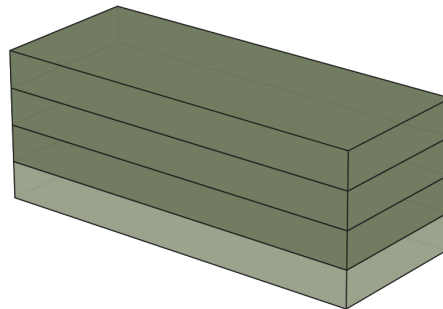
The THAB zone permits 16 m height and 50% building coverage. A four-level walk-up at approximately 13 m sits under the height limit and avoids the cost of a lift and basement - the key efficiency of this typology. The diagrams below are schematic studies of the planning envelope only.

Indicative site plan — schematic



Indicative schematic only — not to scale, not for construction or resource consent. Architectural design to be prepared by a registered architect.

Indicative massing — 4-level walk-up (~13 m), schematic



Ground floor (lighter): colliding facilities + residences · Levels 1-3: residential · ~13 m, no lift

Indicative schematic only — not to scale, not for construction or resource consent. Architectural design to be prepared by a registered architect.

Indicative stacking — schematic

Vertical stack — 26 titles across 4 levels		
Ground	Colliding facilities (laundry, lounge, office) + 5 residences	+5
Level 1	7 residences (mix of 1-bed + dual-key)	+7
Level 2	7 residences (mix of 1-bed + dual-key)	+7
Level 3	7 residences (mix of 1-bed + dual-key)	+7
Total	26 residences · 36 lettable tenancies	

Indicative schematic only — not to scale, not for construction or resource consent. Architectural design to be prepared by a registered architect.

ENVELOPE FACTS

Site area	809 m2
Building coverage (50%)	404 m2 footprint
Levels	4 (no lift, ~13 m)
Gross building area	~1,537 m2
Net saleable (84% walk-up efficiency)	~1,176 m2
Gross floor area (GFA)	~1,530 m2
Residences	26 (16 one-bed + 10 dual-key)

Any scheme denser than the existing 2020 consent (10 apartments) requires a fresh resource consent - allowed at \$110,000 and ~6-12 months in the feasibility.

Indicative Unit Layouts

Schematic - labelled zones, not detailed design

ONE-BEDROOM RESIDENCE (45 m2)

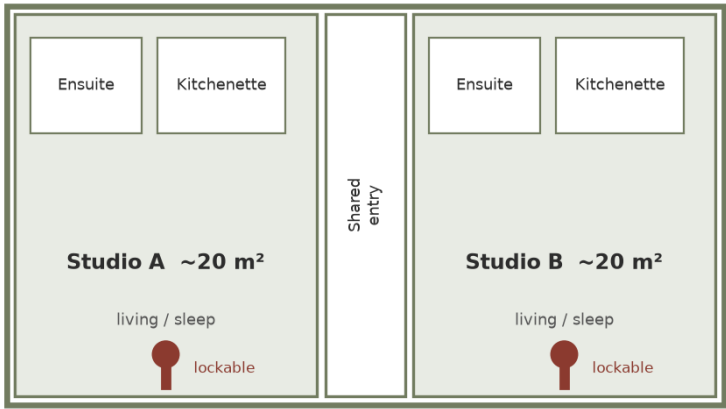
45 m² — one-bedroom residence



Indicative schematic only — not to scale, not for construction or resource consent. Architectural design to be prepared by a registered architect.

DUAL-KEY RESIDENCE (45 m2, two lockable studios)

45 m² — dual-key (2 lockable studios, one title)



Indicative schematic only — not to scale, not for construction or resource consent. Architectural design to be prepared by a registered architect.

The dual-key residence is a single title comprising two independently lockable studios served by a shared entry - sold as one dwelling, capable of two tenancies. Layouts are schematic and indicative only.

Indicative Elevation

Schematic - massing rhythm, not to scale

A diagrammatic four-level street elevation showing the brutalist massing rhythm: a regular window module across the three residential levels above a distinct ground-floor amenity frontage and entry.



Indicative schematic only — not to scale, not for construction or resource consent. Architectural design to be prepared by a registered architect.

Material note

Brutalist expression - board-formed or precast concrete and exposed blockwork, with the structure as the finished surface. Material and detailed design to be developed by the appointed architect.



Unit Schedule & Mix

Two products across 26 titles

Product	Qty	Size	Price (incl)	\$/m2	GRV (incl)
1-bed (single)	16	45 m2	\$499,000	\$11,089	\$7,984,000
Dual-key (2 x 20 m2)	10	45 m2	\$599,000	\$13,311	\$5,990,000
Total	26				\$13,974,000

26 titles; 36 lettable tenancies (16 one-beds + 20 studios). The dual-key residences each count as one consentable title but two lockable, separately tenantable studios.

WHY THE MIX

The 60/40 split (16 one-bed / 10 dual-key) is the balanced choice: it spreads the sell-down across owner-occupiers and yield investors without over-concentrating the harder-to-sell investor product. Skewing further to dual-key lifts margin slightly (higher price point) but concentrates absorption risk; see the mix sensitivity on the following pages.



Feasibility

Adopted base case (ex-GST, \$605,000 land entry)

Full development feasibility, ex-GST, at Citadel's \$605,000 land entry. Build is a blended \$3,726 / m2 - a \$3,600 / m2 rate for the one-bedroom product and \$4,000 / m2 for the dual-key product (two compact wet areas per title) - with a separate \$350,000 allowance for the colliding-facilities fit-out.

Land entry	\$605,000
Demolition to slab	\$25,000
Build (blended \$3,726/m2 x 1,530 m2)	\$5,699,566
Colliding facilities fit-out	\$350,000
Professional fees (10%)	\$569,957
Contingency (6.5%)	\$370,472
Development contributions (\$25k x 26 titles)	\$650,000
Resource consent (fresh)	\$110,000
Siteworks (no basement)	\$80,000
Construction finance (14 mo @ 7%, 50% avg drawn)	\$259,087
Sales & marketing (3.5%)	\$425,296

Total development cost	\$9,144,378
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Gross realisation (26 residences, incl GST)	\$13,974,000
Gross realisation (ex-GST)	\$12,151,304

Development profit	\$3,006,927
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Development margin	24.7%
Equity required (25%)	\$2,114,999
Return on equity	142%
Residual land value (at 18% margin)	\$1,761 / m2 (vs \$1,400 / m2 ask: +\$361 / m2)
Programme	~14 months



Investor Yield & Sensitivity

Why the prices hold, and what moves them

The scheme's pricing is anchored in income. Both products yield above the ~3-4% typical of Auckland residential, and the dual-key's two income streams justify its premium.

INVESTOR YIELD

Product	Rent	Annual gross	Gross yield
1-bed @ \$499k	\$480 / wk	\$24,960	5.0%
Dual-key @ \$599k (2 studios)	\$640 / wk	\$33,280	5.6%

BUILD-COST SENSITIVITY (the swing variable - computed via model_logic.py)

Build cost is the swing variable - the dual-key fit-out in particular. A \$500 / m2 movement in the dual-key build rate moves the margin roughly 2-3 points and the land value by ~\$400 / m2. A QS estimate is the single most important figure to confirm.

Dual-key build \$/m2	Blended \$/m2	Scheme margin	Land /m2
\$3,800	\$3,655	25.8%	\$1,922
\$4,000 (adopted)	\$3,726	24.7%	\$1,761
\$4,300	\$3,832	23.1%	\$1,520

MIX SENSITIVITY (vary the 60/40 split, total 26 - computed)

Split (of 26)	Margin	Land /m2
18 x 1-bed + 8 dual-key (69/31)	24.1%	\$1,657
16 x 1-bed + 10 dual-key (62/38, adopted)	24.7%	\$1,761
14 x 1-bed + 12 dual-key (54/46)	25.3%	\$1,865

More dual-key slightly lifts margin and land value (higher price point) but concentrates the harder-to-sell investor product. The adopted 60/40 split is the balanced choice.



Market Assessment

Demand, supply, and the premium question

Glen Eden is an established West Auckland suburb 20 minutes from the CBD on the Western rail line. Median sale price is \$823,833 (REINZ, 12 months to June 2026), median 33 days to sale, 282 dwellings sold. The market is steady and value-led - predominantly first-home buyers and investors.

DEMAND SIGNAL

Median sale price (all stock, 12 mo)	\$823,833
Median days to sale	33 days
Dwellings sold (12 mo)	282
Median rent (1-2 bed)	\$560-620 / week
Buyer profile	First-home buyers & investors

THE PREMIUM QUESTION - HONEST READ

Design-led product commands clear premiums in amenity-rich, transport-central locations (Ponsonby, city fringe, Britomart). Glen Eden is a solid, affordable, family-and-investor market. The brand, the design and the dual-income hook improve both price and absorption - but they do not fully override the postcode. This is the central commercial risk, and the reason the prices must be validated against a real comparable before commitment.

SUPPLY & ABSORPTION

New townhouse supply is active (e.g. Creston Group, 39 Brandon Road, 12 units), absorbed via investor yield guarantees and first-home-buyer deposit support - evidence of a price-sensitive market. The two-product mix directly addresses absorption: 16 one-bedrooms to a broad buyer pool and 10 dual-keys to yield investors spreads the sell-down across audiences rather than concentrating it.



Financing & Recommendation

Capital stack and the path forward

CAPITAL STACK (EX-GST)

Total development cost	\$9,144,378
Senior construction debt (75% LVR)	\$6,858,378
Equity required (25%)	\$2,114,999
Construction finance rate	7.0% p.a.
Programme	~14 months
Gross realisation (ex-GST)	\$12,151,304
Development profit	\$3,006,927
Development margin	24.7%

STRATEGY OPTIONS

Build-to-sell (modelled)	24.7% margin, 142% ROE
Build-to-hold-and-operate	Rental + management margin - to model
Sell consented site (flip)	Lower risk, lower return - see vendor IM

WHERE THIS SITS

Scheme	Margin	Land /m2
Plain brutalist 28u @ \$449k	34.1%	\$2,920
Design co-living 28u @ \$489k	27.1%	\$2,091
Mixed 60/40 @ \$499k/\$599k (this scheme)	24.7%	\$1,761
Dual-key all 26t @ \$549k	22.2%	\$1,392
Consented 10u townhouse (RC done)	29.2%	\$1,537

Recommendation

The mixed scheme is the recommended development concept for the site. It balances return (24.7% margin, 142% ROE), supports a land value above the acquisition price (\$1,761 / m2 vs \$1,400 / m2), and de-risks the sell-down by addressing two buyer pools - owner-occupiers and yield-focused investors. It is recommended for advancement to concept design, subject to the conditions precedent below.

Conditions precedent

1. Registered valuation confirming one-bedroom and dual-key end values.
2. At least one genuine local comparable supporting the \$499,000 / \$599,000 prices.
3. QS build estimate, with particular focus on the dual-key fit-out rate.
4. Early planner's view on dual-key consent treatment (one dwelling per title, parking, and any short-stay use), and confirmation the 2020 consent can be superseded with a fresh consent pathway scoped.
5. A build-to-hold operating model run alongside build-to-sell.
6. Body-corporate / shared-facilities ownership and operating structure resolved.

Indicative concept information only. Not a registered valuation, not architecture, and not an offer. All figures subject to verification, due diligence, QS estimate, valuation, and contract. Schematic diagrams are not to scale and not for construction or resource consent. E&OE.

